purchase of its real estate, plant, and equipment. The ratio resulting from the calculation is easy to interpret: The better the business and the harder management works the tangible capital tied up in the company, the higher *operating earnings* will be in relation to *tangible capital*. In other words, the higher the *return on capital* ratio, the more wonderful the company.

To determine a fair price, Greenblatt uses *earnings yield*, which he defines as follows:

$$\text{Earnings Yield} = \text{EBIT} \div \text{EV}$$

Greenblatt's *earnings yield* is like the inverse of the more familiar price/earnings (P/E) ratio, but varies in two important ways. First, Greenblatt substitutes *enterprise value* (EV) for market capitalization (the *price* in the P/E ratio). *Enterprise value* is the cost an acquirer must pay to take over a company in its entirety. It comprises the full market capitalization, including any preferred stock; any debt, which an acquirer must service; any minority interests; and adjusts for excess cash, which an acquirer can redeploy. Enterprise value gives a more full picture of the actual price an acquirer must pay than market capitalization alone. Second, Greenblatt uses EBIT rather than *earnings* for the same reason that he uses it in the *return on capital* ratio: *Earnings* are influenced by a company's capital structure, whereas EBIT is agnostic, allowing us to compare companies on a like-for-like basis. Like the ratio resulting from the *return on capital* calculation, the *earnings yield* is easy to interpret: The higher *operating earnings* are in relation to *enterprise value*, the higher the *earnings yield*, and the better the value.

With Buffett's *wonderful company at a fair price* strategy quantified and therefore codeable, in 2005 Greenblatt asked a young Wharton graduate acquaintance with experience in computer programming to test it. There would be no onerous testing by hand as there had been in the 1970s. Instead, the programmer instructed the computer to do the heavy lifting, and examine the largest 3,500 stocks, excluding certain financial stocks and utilities, in a historical database of stock prices and fundamental data going back to 1988. In each year, the program would assign to each stock in the universe a rank based on its *earnings yield* and another rank based on its *return on capital*. It would then add each stock's *earnings yield* rank and *return on capital* rank to generate a new combined rank for each stock. The program formed an equally weighted portfolio—meaning the theoretical portfolio capital is divided equally among all the stocks—in each year of the 30 stocks with the best combined rank. It then tracked the performance of the portfolio over the following 12 months. Rinse and repeat for each year in the database. When the process was complete Greenblatt examined the results. Quoting Graham, he found them "quite satisfactory."[10]